

FEDERAL MARITIME COMMISSION

DOCKET NO. 14-16

BALTIC AUTO SHIPPING, INC.

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV and
EMPIRE UNITED LINES CO., INC.**

**RESPONDENTS' OPPOSITION TO COMPLAINANT'S MOTION FOR
AN EXTENSION OF TIME TO FILE A RESPONSE TO RESPONDENTS'
PETITION REGARDING ATTORNEY FEES**

On July 19, 2017, Respondents, as the prevailing parties, timely filed a Petition Regarding Attorney Fees.

Complainant had been put on notice that Respondents would be considered the prevailing parties and could file a petition for attorney fees since September 15, 2015, when the Presiding Judge entered an Initial Decision that specifically found that "Empire is the prevailing party in this proceeding" and therefore "may be awarded reasonable attorney fees for service performed after the effective date of the Coble Act." **[Doc. No. 67 at p. 58].**

In truth, Complainant was warned about this possibility even earlier, when the Presiding Judge, during a telephone conference held on February 26, 2015, specifically informed Complainant's counsel (Mr. Nussbaum) that due to the Coble Act amendments the prevailing party in a case seeking reparations – not just complainants but also respondents – could seek recovery of attorney fees.

More recently Complainant was made abundantly aware of Respondents' intention to seek attorney fees nearly *one year ago* when Respondents filed their August 30, 2016 response to Complainant's Motion for Dismissal, specifically objecting to dismissal of Respondents' right to

seek attorney fees and stating Respondents' intention "after the acceptance of the withdrawal of the Complainant's exceptions to the Initial Ruling to file a petition for the award of attorney fees...." **[Doc. No. 78 at p. 4].**

In its September 2, 2016 reply Complainant argued that Respondents had waived the right to seek attorney fees in this matter due to a purported settlement. **[Doc. No. 81 at p. 4].**

Over the next six months Respondents specifically and repeatedly denied the existence of any settlement agreement which provided for a waiver of Respondents' right to seek recovery of reasonable attorney fees as a prevailing party in this proceeding. **[Doc. No. 82 at p. 2, Doc. No. 85, and Doc. No. 91].**

This culminated in the Commission serving a Memorandum Opinion and Order on April 21, 2017, in which the Commission found that "although the parties both manifested a willingness to consider a full settlement, the Settlement Agreement was never signed by Respondents and at this point, the parties have not jointly decided that settlement is in their best interest" and concluded that "[i]t would therefore be inappropriate for the Commission to terminate a party's statutory right to seek attorney fees based on the unilateral request of the opposing party." **[Doc. No. 94 at pp. 9 and 13].** Complainant did not appeal from, or seek reconsideration of, or take exceptions to, the Commission's April 21, 2017 Memorandum Opinion and Order and that decision is now final.

Rule 254(e) of the Rules of Practice and Procedure of the Federal Maritime Commission (46 C.F.R. 502.254(e)), governs replies to petitions for attorney fees and provides that "[t]he opposing party may file a reply to the petition within 20 days of the service date of the petition. The reply may address the reasonableness of any aspect of the prevailing party's claim and may suggest adjustments to the claim under the criteria stated in paragraph (d) of this section."

Complainant therefore has until August 8, 2017 to file a reply to Respondents' Petition Regarding Attorney Fees. In his request for a 28-day extension of this deadline, Mr. Nussbaum represented that he "has been and continues to be in the process of obtaining evidence needed to oppose said Petition" and that "[t]he evidence needed to oppose said Petition has not been readily available but will be of tantamount [sic] importance for the Commission's consideration in this matter."

Mr. Nussbaum did not represent that the "evidence" referred to will "address the reasonableness of any aspect of the prevailing party's claim or suggest adjustments to the claim under the criteria stated in paragraph (d) of [Rule 254]." Instead, it appears from context that the "evidence" will relate to Complainant's "contention that the respondents, by their counsel Jon Werner, Esq. and Gerard S. Doyle, Esq. have attempted to perpetrate a fraud upon the Commission by seeking the very same attorneys fees which were in fact *waived* by respondents as part of a global settlement of multiple lawsuits, and which were memorialized in a written Settlement Agreement...."

In other words, Mr. Nussbaum is seeking an extension of time so that he can attempt to procure evidence in support of the *very same* waiver argument that the parties already actively litigated *one year ago*, which was already rejected by the Commission more than three months ago, and from which Complainant took no appeal or exceptions. And Mr. Nussbaum's justification for needing this extension is that he only started the process of obtaining said evidence on July 19, 2017 when Respondents' Petition Regarding Attorney Fees was filed, notwithstanding his having known Respondents' intention to seek attorney fees *one year ago*.

Respondents believe that the instant motion represents just another example (of which there are many) of Mr. Nussbaum's continued attempts to delay the orderly progress of these proceedings, and that it further exemplifies why an award of reasonable attorney fees to

Respondents in this matter would be consistent with the purposes of the Shipping Act of 1984.

Respondents respectfully submit that Mr. Nussbaum has not demonstrated a reasonable basis for the grant of a 28-day extension, or indeed any extension of time. This is not the first time that Mr. Nussbaum has sought an extension of time on the unsupported pretext that additional time is need to locate some “evidence” that will support his client’s position.

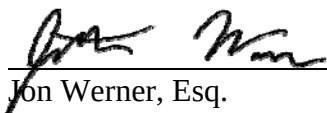
For example, in *Ovchinnikov et al. v. Hitrinov et al.*, Docket No. 15-11 (which involves another meritless proceeding commenced by Mr. Nussbaum against Respondents), Mr. Nussbaum sought an open-ended extension of time to file Exceptions from the Presiding Judge’s Initial Decision Dismissing the Complaint, on the basis of an unsupported “good faith belief” that discovery in unrelated Federal civil and criminal matters would result in evidence to support his client’s claims. **[Doc. No. 154 in Docket 15-11]**.

Mr. Nussbaum cited similar grounds in an application for additional time to file Exceptions and to re-open the proceedings in *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04. **[Doc. No. 38 in Docket No. 15-04]**. In a Memorandum Opinion and Order, served March 6, 2017, the Commission rejected Mr. Nussbaum’s application as clearly meritless and nothing more than an improper attempt to delay entry of a final order. **[Doc. No. 44 in Docket No. 15-04]**.

Respondents respectfully submit that Mr. Nussbaum’s latest attempt should be similarly denied.

Dated this 4th day of August 2017.

LYONS & FLOOD, LLP

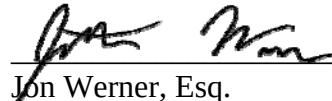
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served RESPONDENTS' OPPOSITION TO COMPLAINANT'S MOTION FOR AN EXTENSION OF TIME TO FILE A RESPONSE TO RESPONDENTS' PETITION REGARDING ATTORNEY FEES upon all parties of record by first class mail and email at the addresses below, and that the original and five copies are being filed with the Secretary of the Federal Maritime Commission:

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Dated this 4th day of August 2017.



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